

THE TAT AND TOURISM “COMPETITIVENESS”

*Presentation to Hawai‘i State Tax
Review Commission Sept. 18, 2026*

-- John M. Knox

Prologue: Our Competitive Challenges

1. “Structural Repricing and Extreme Costs”

- **Price**: “soaring inflation, skyrocketing [lodging] rates (30% jump over 5-yr span), **high local taxes**, and steep airfares.”
- Value Redefinition: Travelers prioritize places “that offer clear demonstrable value.”

2. “Growing Exhaustion Over Overtourism”

- US travelers tired of mass tourism; in Hawai‘i, overcrowding and resident resentment are growing concerns

3. “Intense Global and Domestic Competition”

- Many travelers now plan long-haul trips; Hawai‘i faces aggressive **price** competition from international competition
- Weather/Environment: “Destinations that don’t effectively manage their environmental footprint or offer eco-friendly value risk losing visitors to emerging alternatives.”

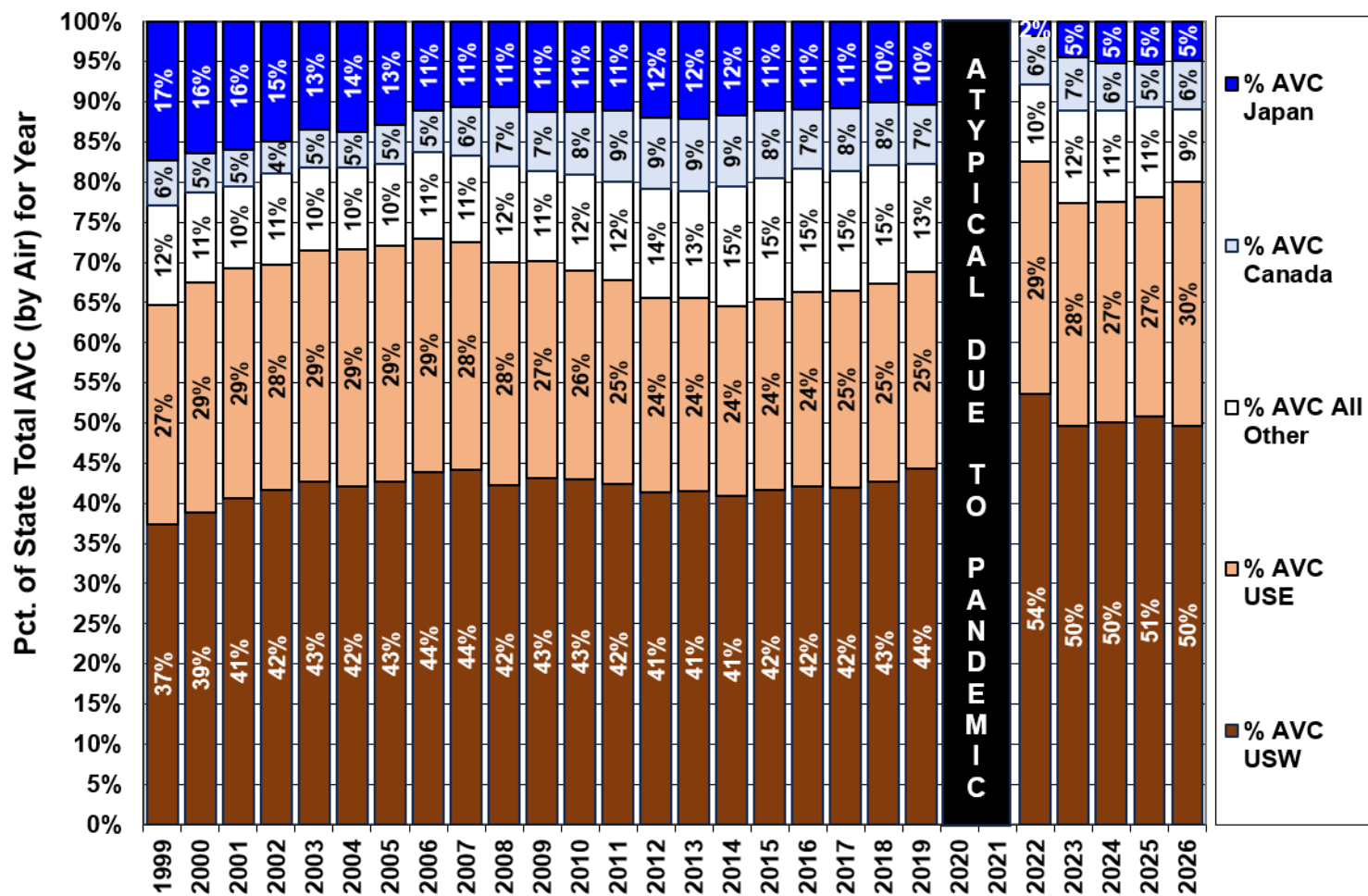
Source: AI summary of 2026 “MMGY Portrait of American Travelers” Hawai‘i results

OVERVIEW

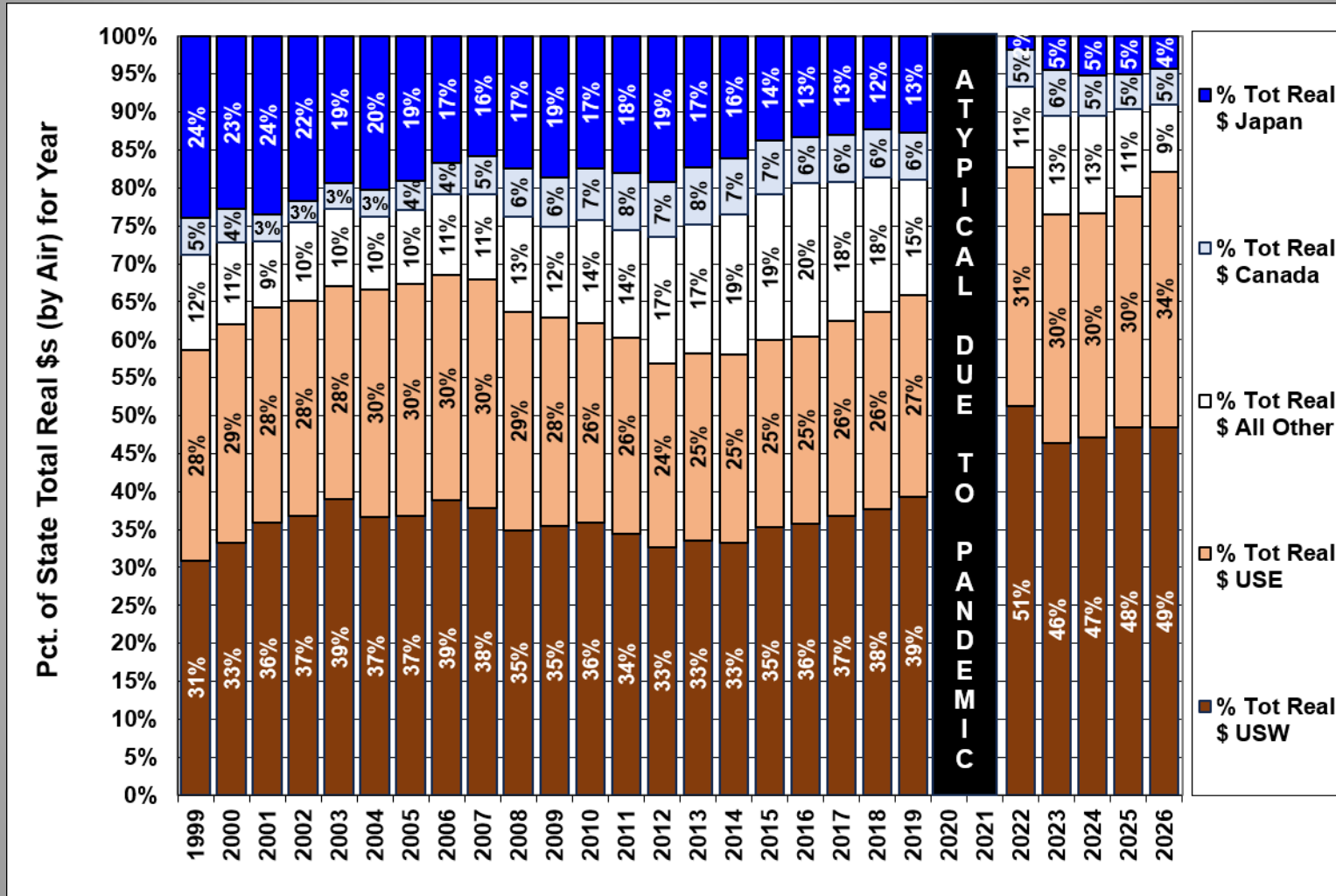
1. HISTORY: TAT + GET RATE CHANGES
AND CORRELATIONS WITH TOURISM
OUTCOMES

2. THE REST OF THE STORY: TAT
COMPLEXITIES

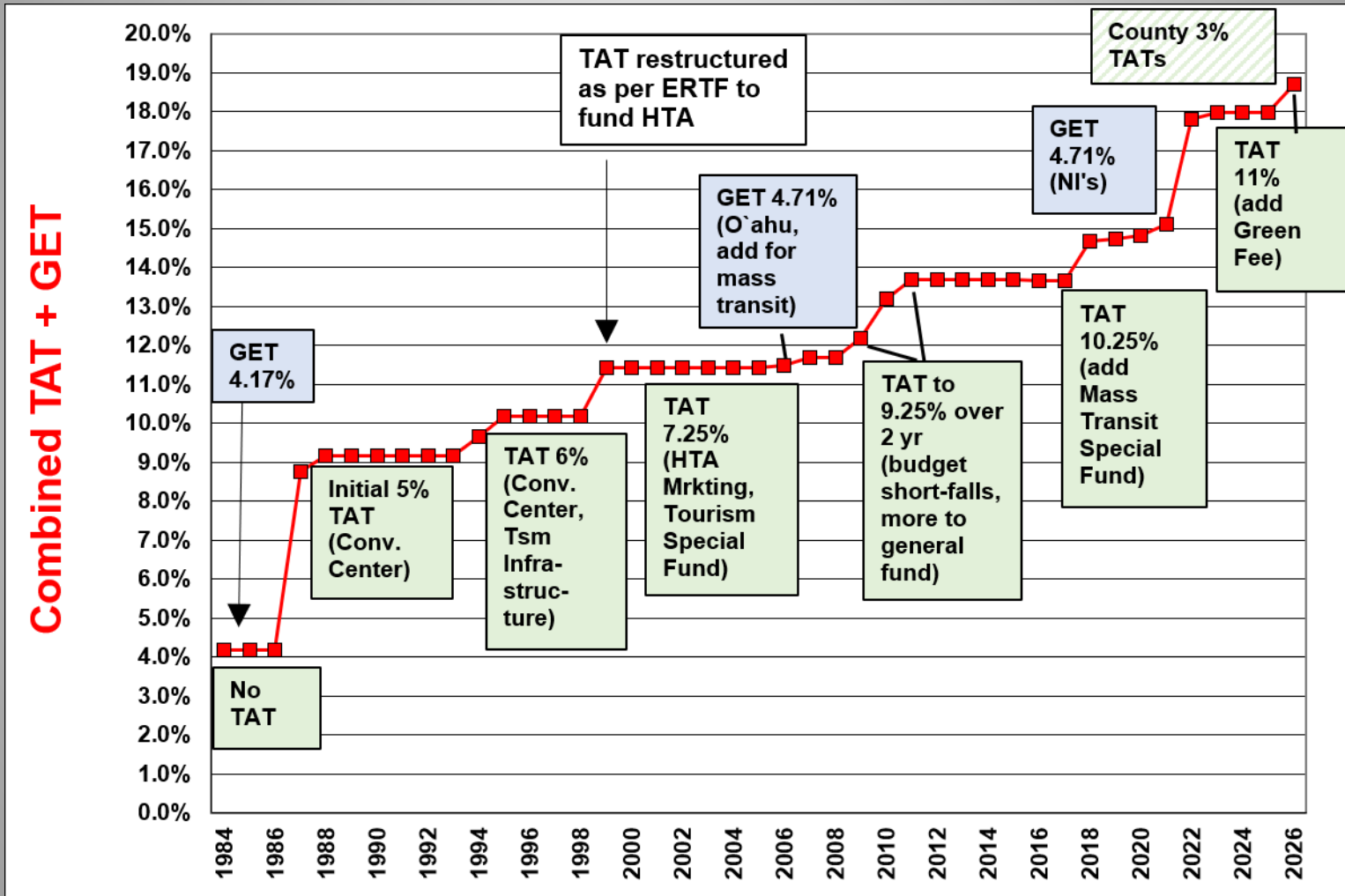
Changing Market Profile: Visitor Counts



Changing Market Profile: Visitor Dollars



Visitor Tax “Burden” Over Time



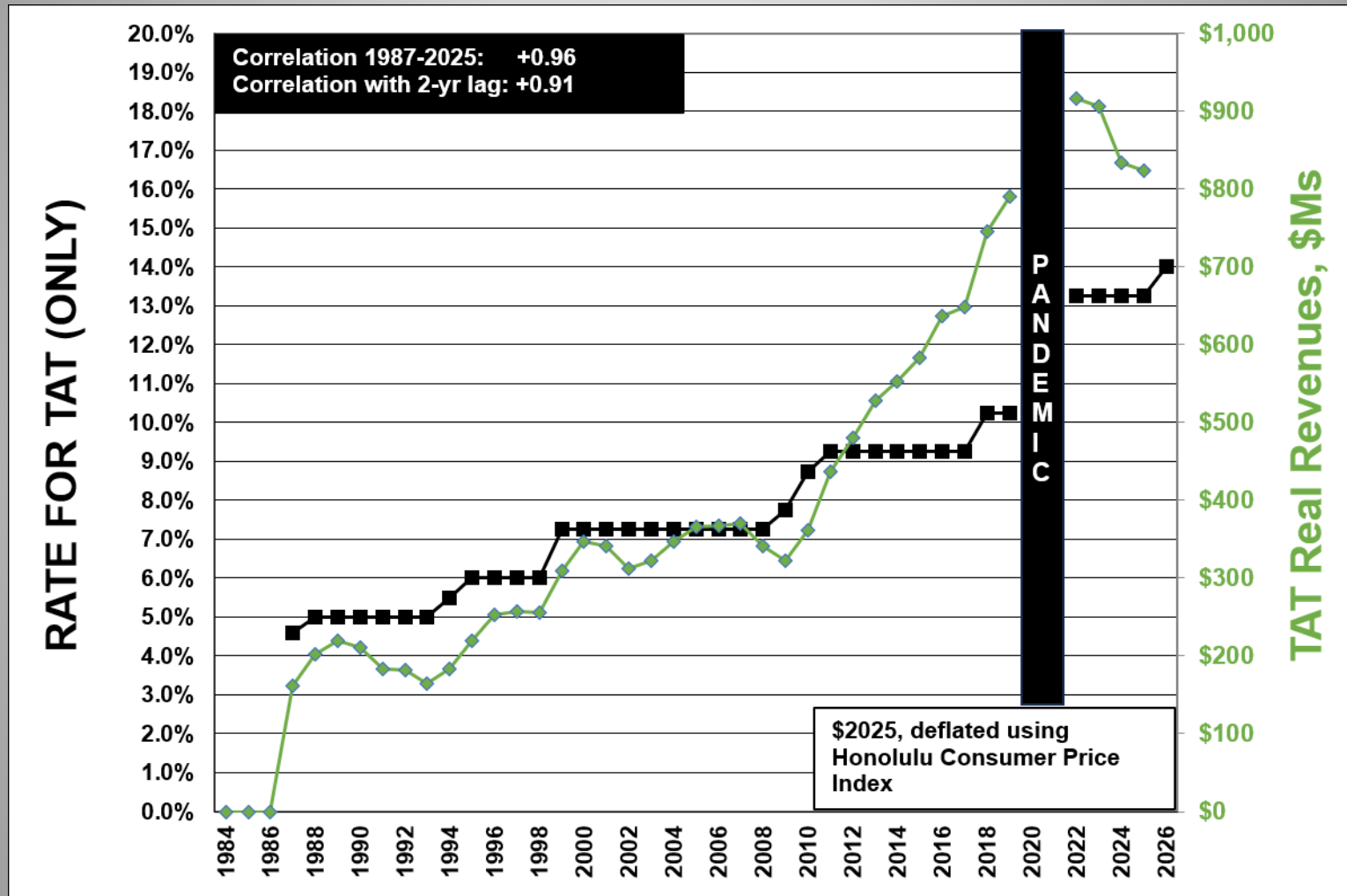
On “State” Basis, Hawai‘i Last Year Had 3rd Highest Rate (pre Green Fee)

- Slightly outdated study and I think more value in comparisons by city that will be in Part 2
- But 2025 Natl. Conf. of State Legislatures report suggests Hawai‘i had 3rd highest Lodging + Sales Tax rate of all states and territories
- Only Connecticut and DC slightly higher
- 3 states – Alaska, Nevada, California – had zero state sales or lodging taxes

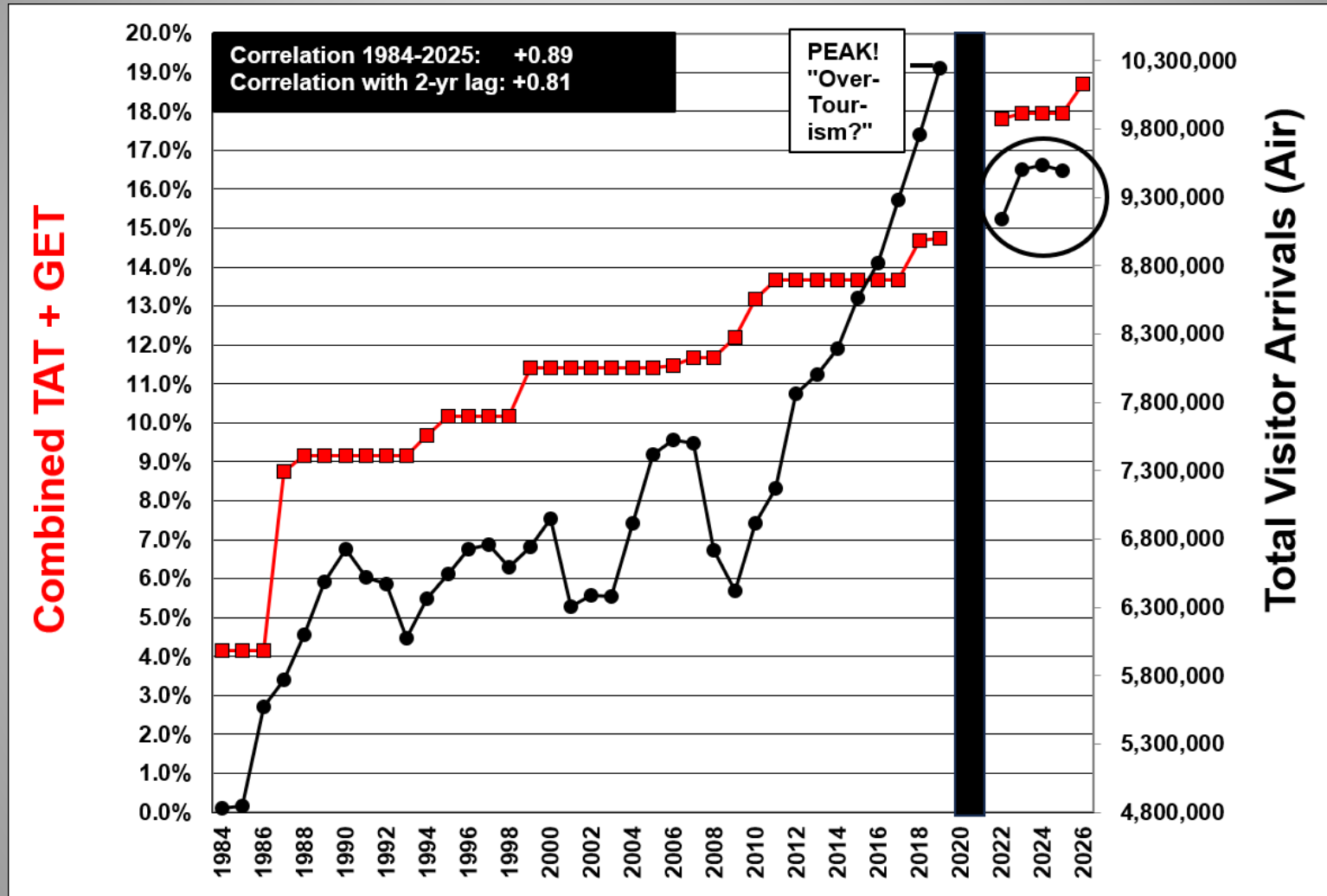
Source: National Conference of State Legislatures

<https://www.ncsl.org/elections-and-campaigns/state-lodging-taxes>

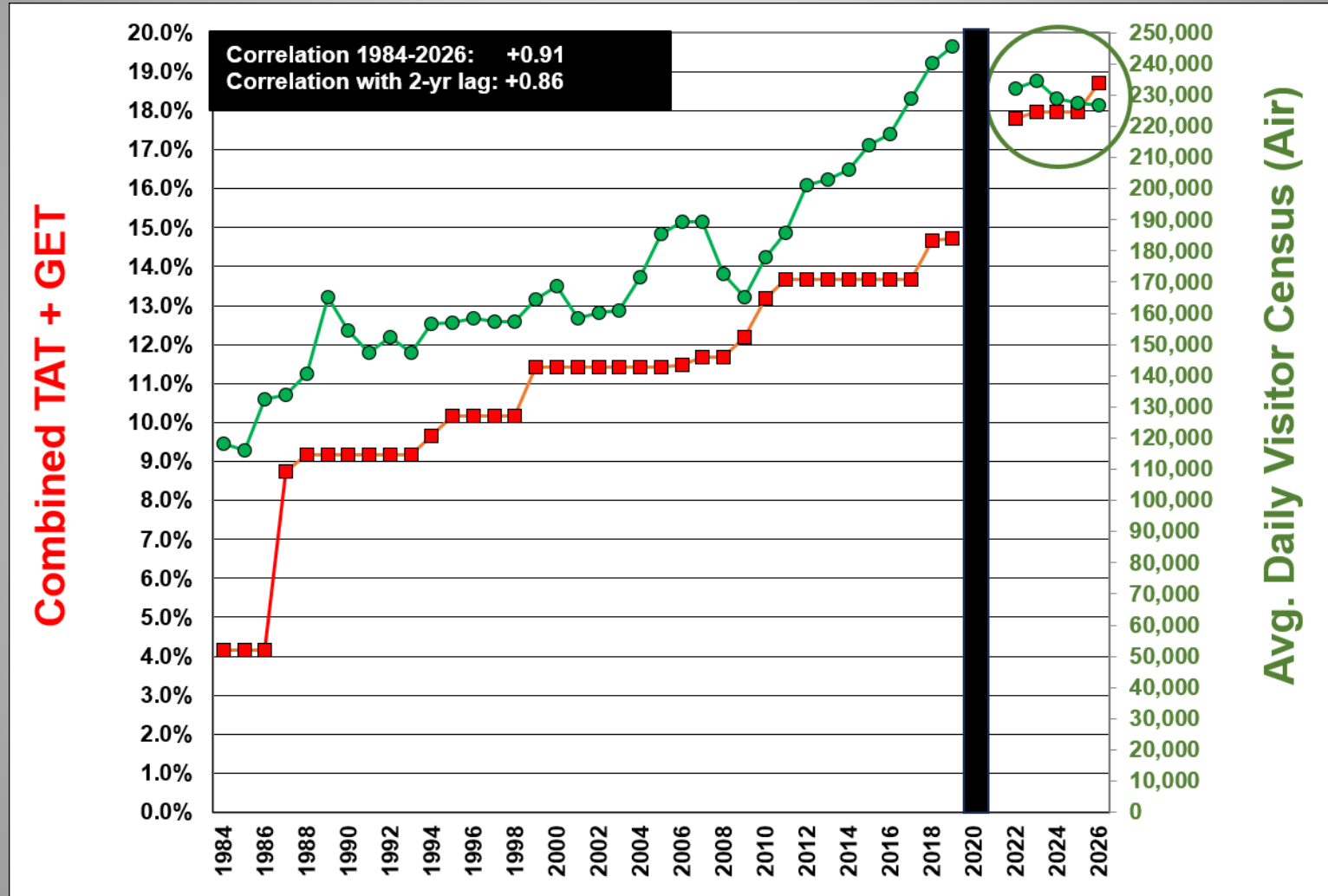
Intuitively Expected Correlation!



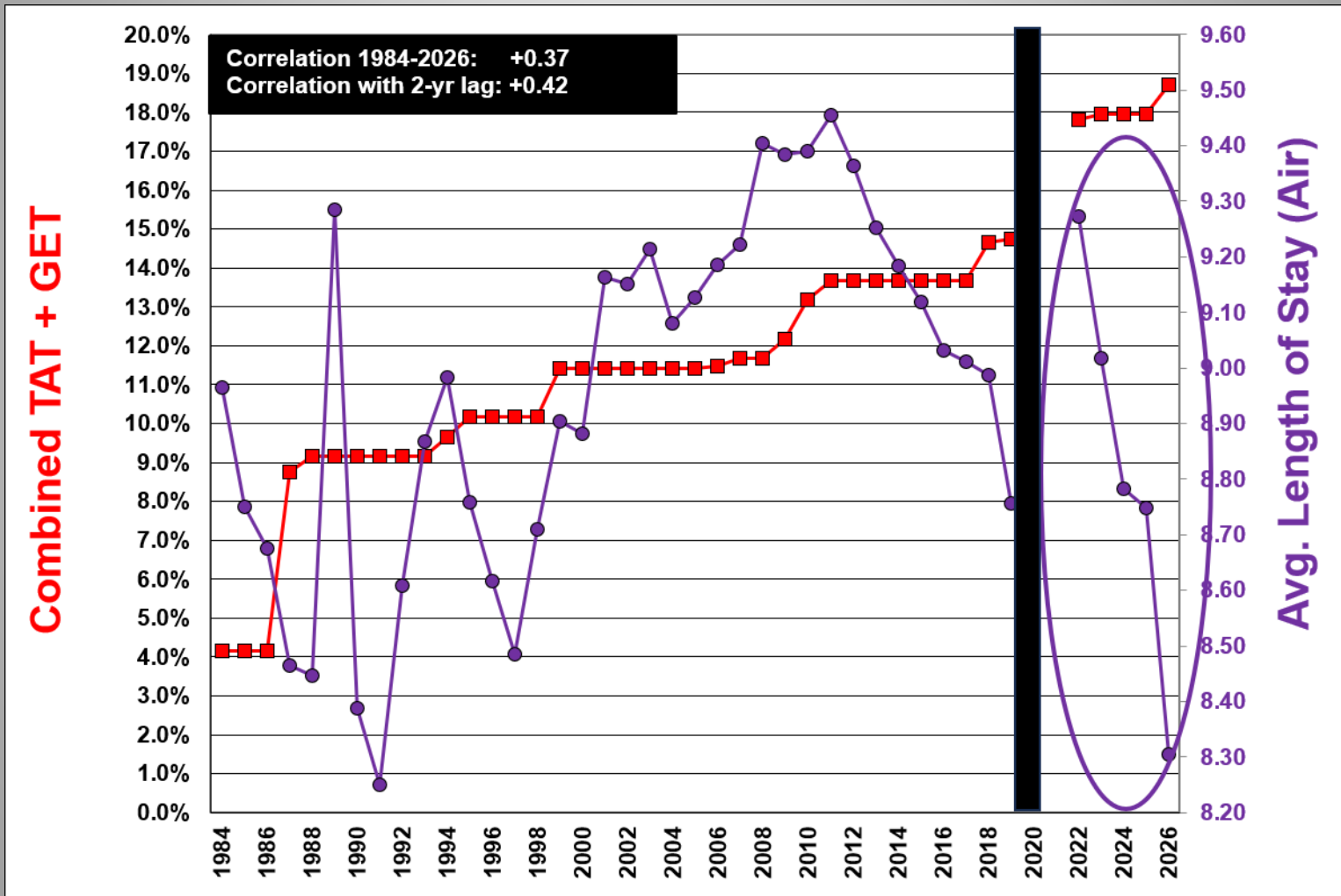
Arrivals: Unexpected (?) Correlation



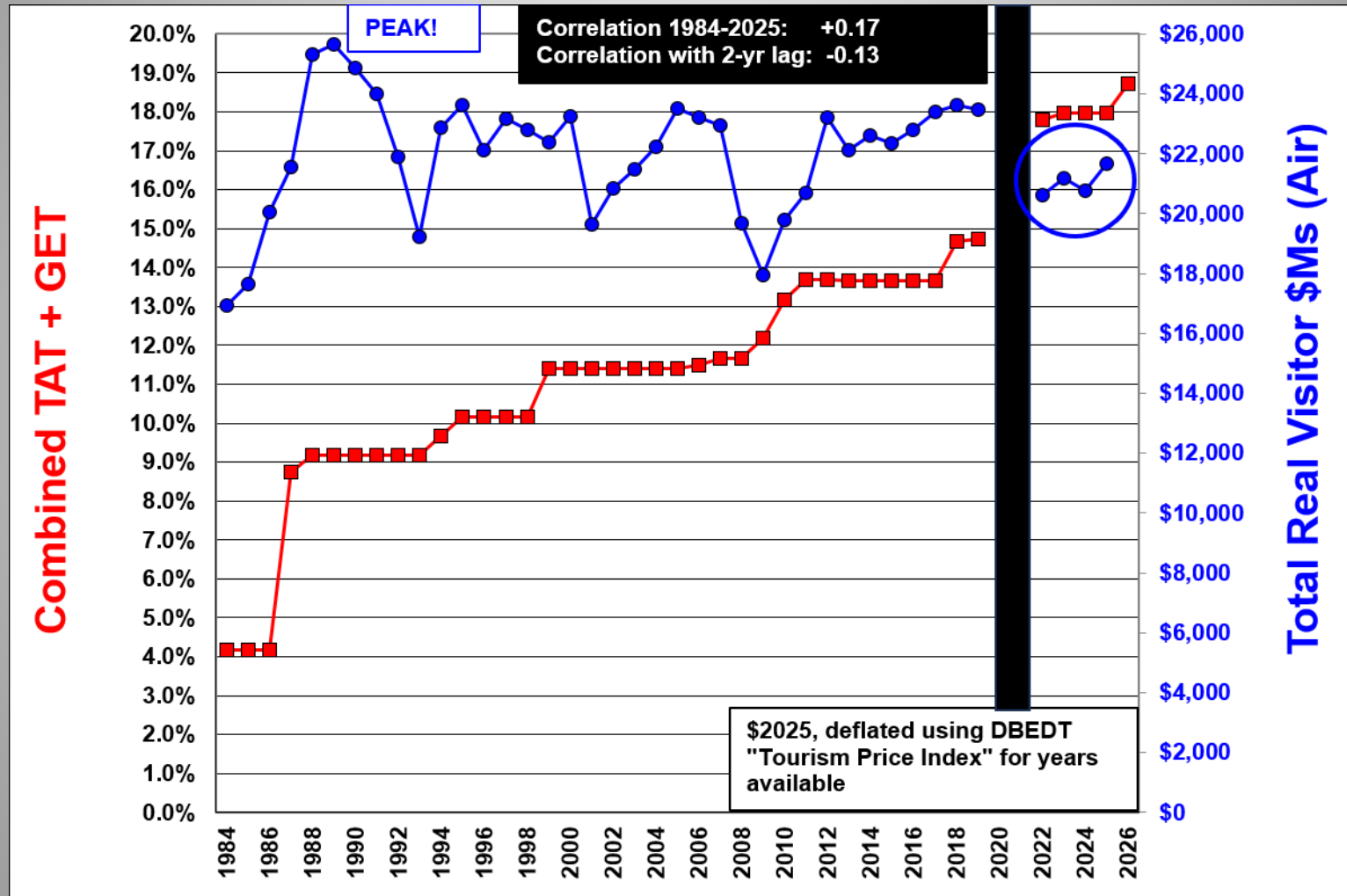
Same for Avg. Visitor Census, but...



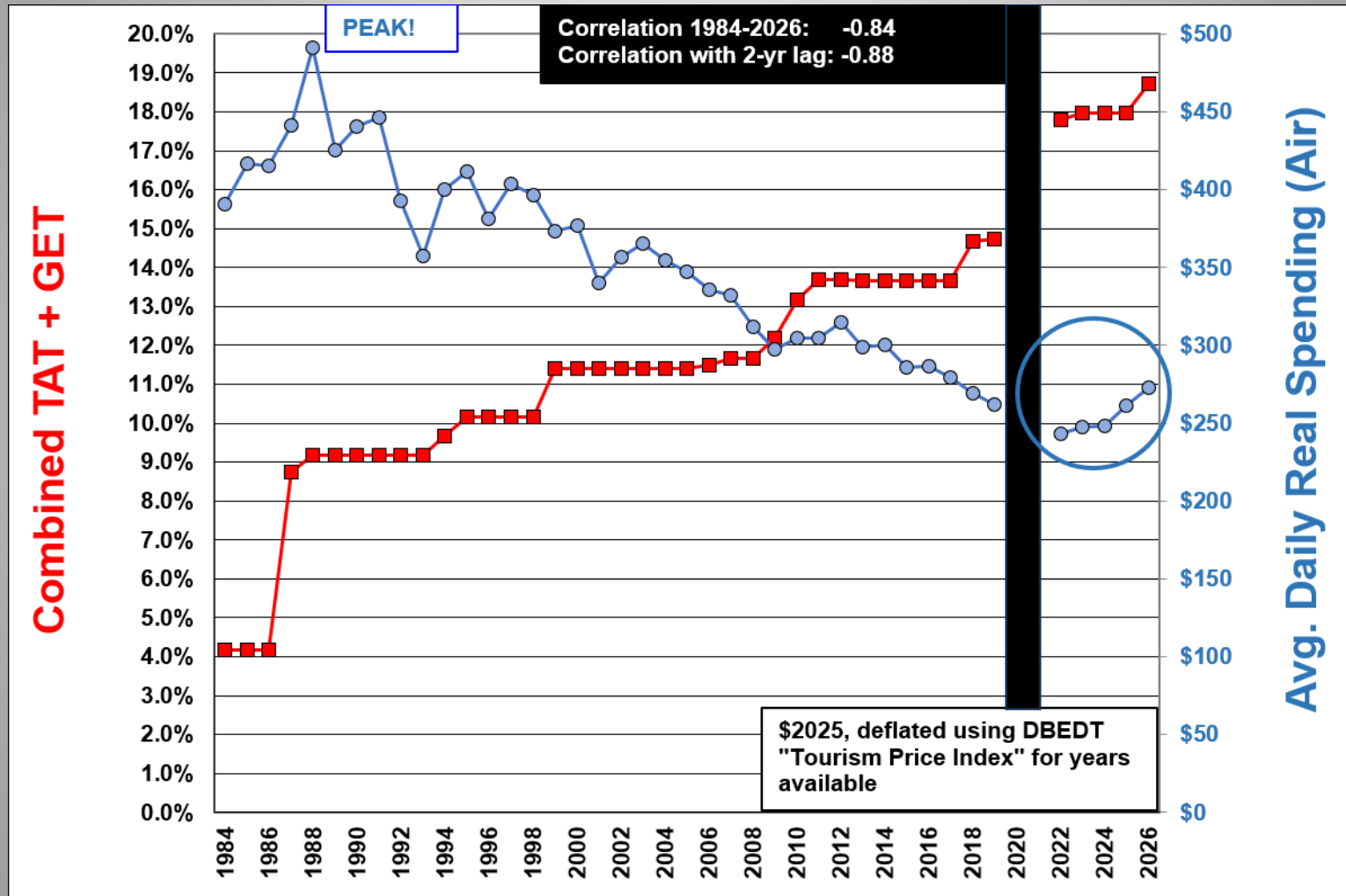
A Focus of Recent Anxiety (LOS)



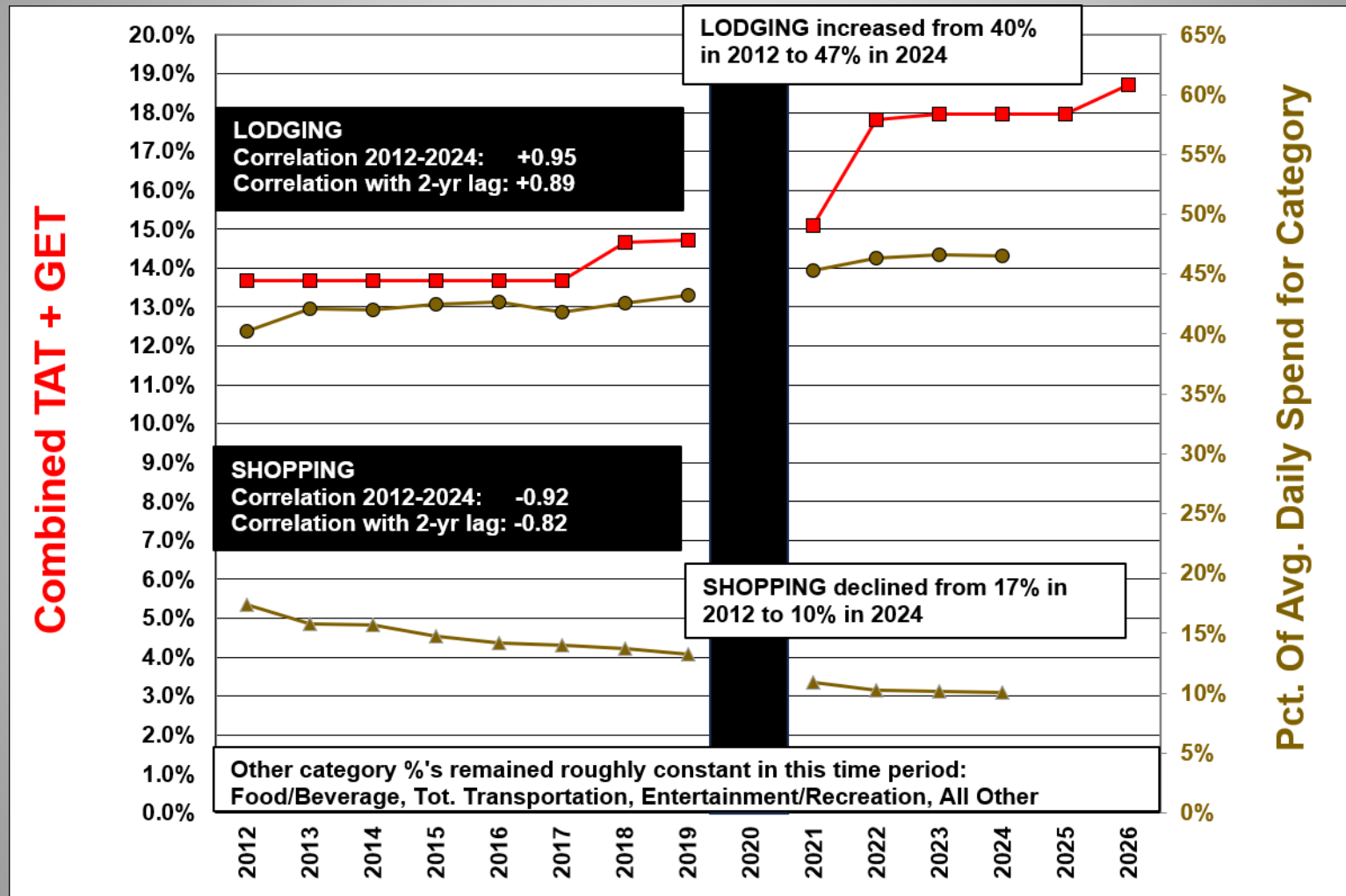
Now Let's Look at ("Real") Money!



Overlooked Good News!

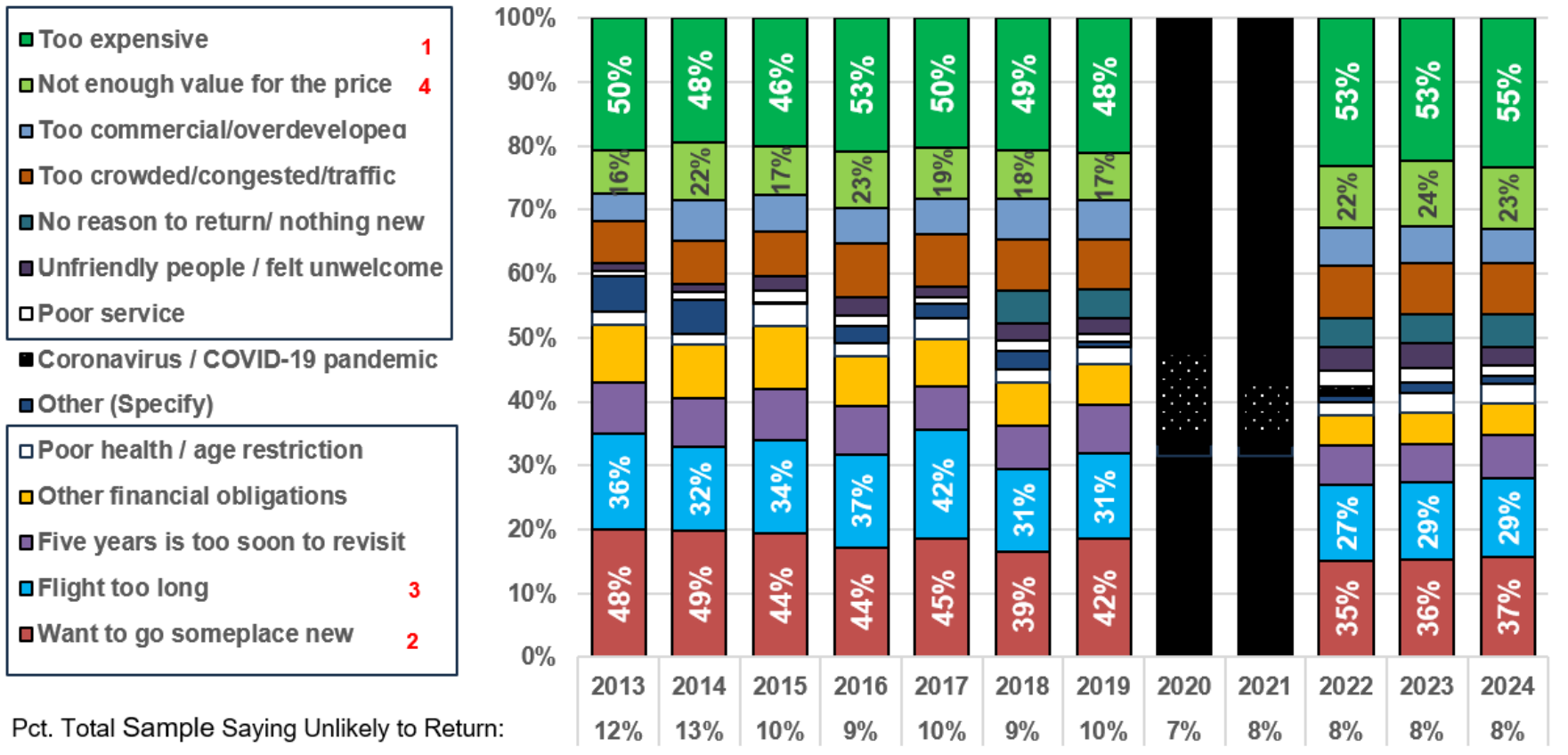


Finally, a Correlation That's (a Little) More Intuitive!



Are We Losing Visitors Due to Cost?

Reasons for Not Returning in Next 5 Years (US Total)

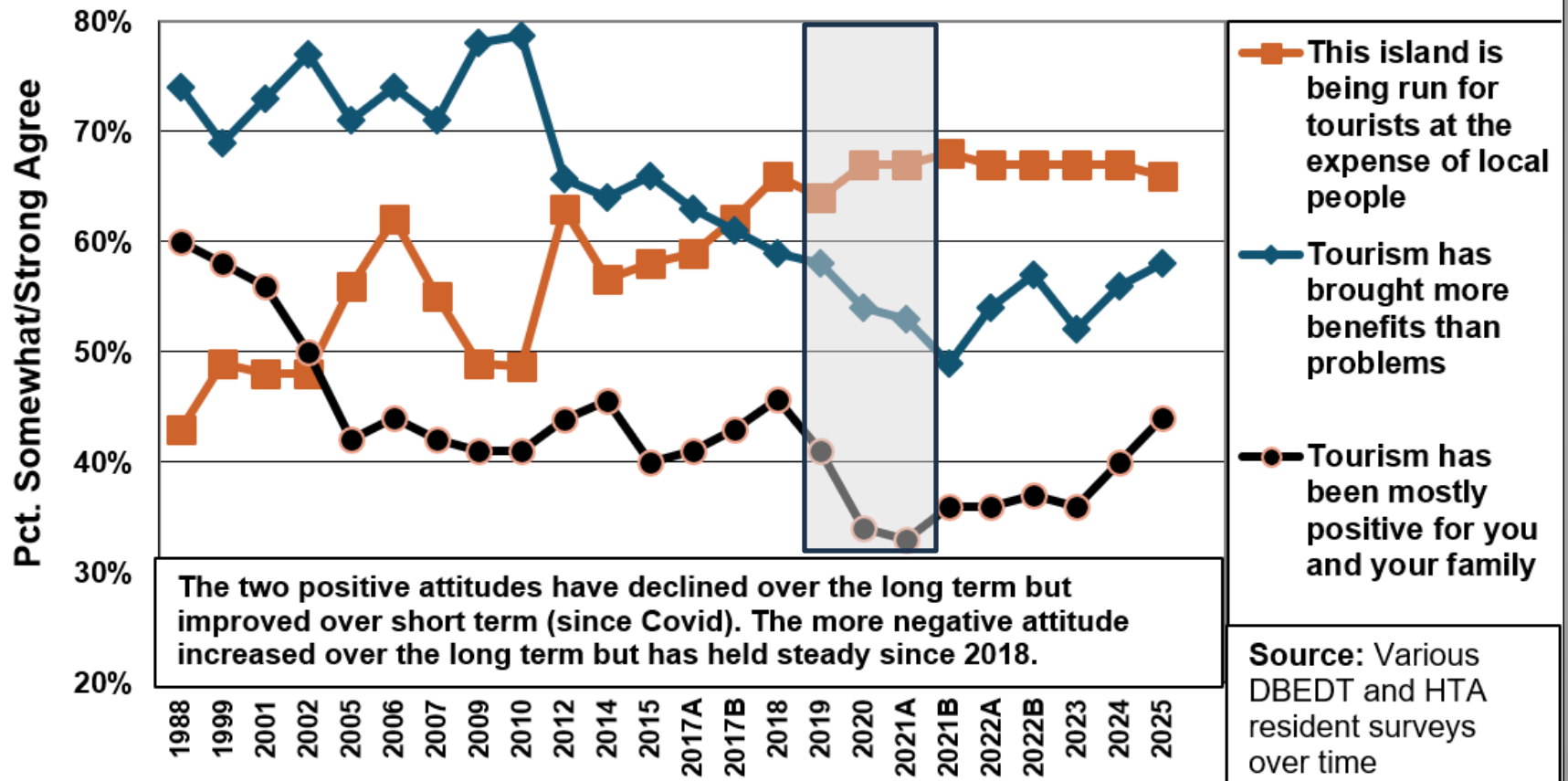


Partial Update 2025-26

US West	<u>2025-Q1</u>	<u>2025-Q2</u>	<u>2025-Q3</u>	<u>2025-Q4</u>	<u>2026-Q1</u>
<i>High cost of travel</i>	47.9%	33.8%	46.0%	29.7%	51.6%
Unexpected events or conditions					18.1%
Negative local interactions	10.4%		15.2%		
Cultural and environmental concerns	11.8%				
Nothing new to see or do				10.4%	
Financial constraints				14.1%	
Health and personal limitations/ age					
Long travel distance					
<i>Preference for other destinations</i>	47.9%	27.7%	12.5%	21.2%	18.1%
US East	2025-Q1	2025-Q2	2025-Q3	2025-Q4	2026-Q1
<i>High cost of travel</i>	41.5%	46.6%	49.3%	40.7%	47.4%
Unexpected events or conditions					11.4%
Negative local interactions					
Cultural and environmental concerns					
Nothing new to see or do					
Financial constraints					
Health and personal limitations/ age	10.2%		10.0%	10.0%	16.6%
<i>Long travel distance</i>	24.9%	26.7%	26.7%	28.6%	23.9%
<i>Preference for other destinations</i>	29.1%	27.4%	18.4%	22.4%	16.7%

Resident Attitudes: General Tourism

Statewide Results for 3 "Core" Resident Attitudes



Resident Attitudes: Use of Taxes

% Agree (ratings of 6-10)	Spring 2022	Fall 2022	Spring 2023	Spring 2024	Spring 2025
<i>Tax dollars should be spent to ENCOURAGE tourism in my community</i>	42%	40%	41%	42%	47%
<i>Tax dollars should be spent to MANAGE the impacts of tourism in my community</i>	66%	67%	66%	65%	68%

-- "Resident Sentiment Survey – Spring 2025," DBEDT and Omnitrak, p. 6

Part 1 Major Take-Aways

- Our rate has mushroomed, now very high
- Still, changes in TAT/GET rates (alone) not strongly correlated to most tourism outcomes
- But tourism now (a) weaker than before Pandemic, and (b) headed south – and we're not used to downturns in “normal” timeframe
- Evidence that visitor concern about expense (if not taxes alone) is a major (but not *only*) issue negatively affecting visitor perceptions

OVERVIEW

1. HISTORY: TAT + GET RATE CHANGES AND CORRELATIONS WITH TOURISM OUTCOMES

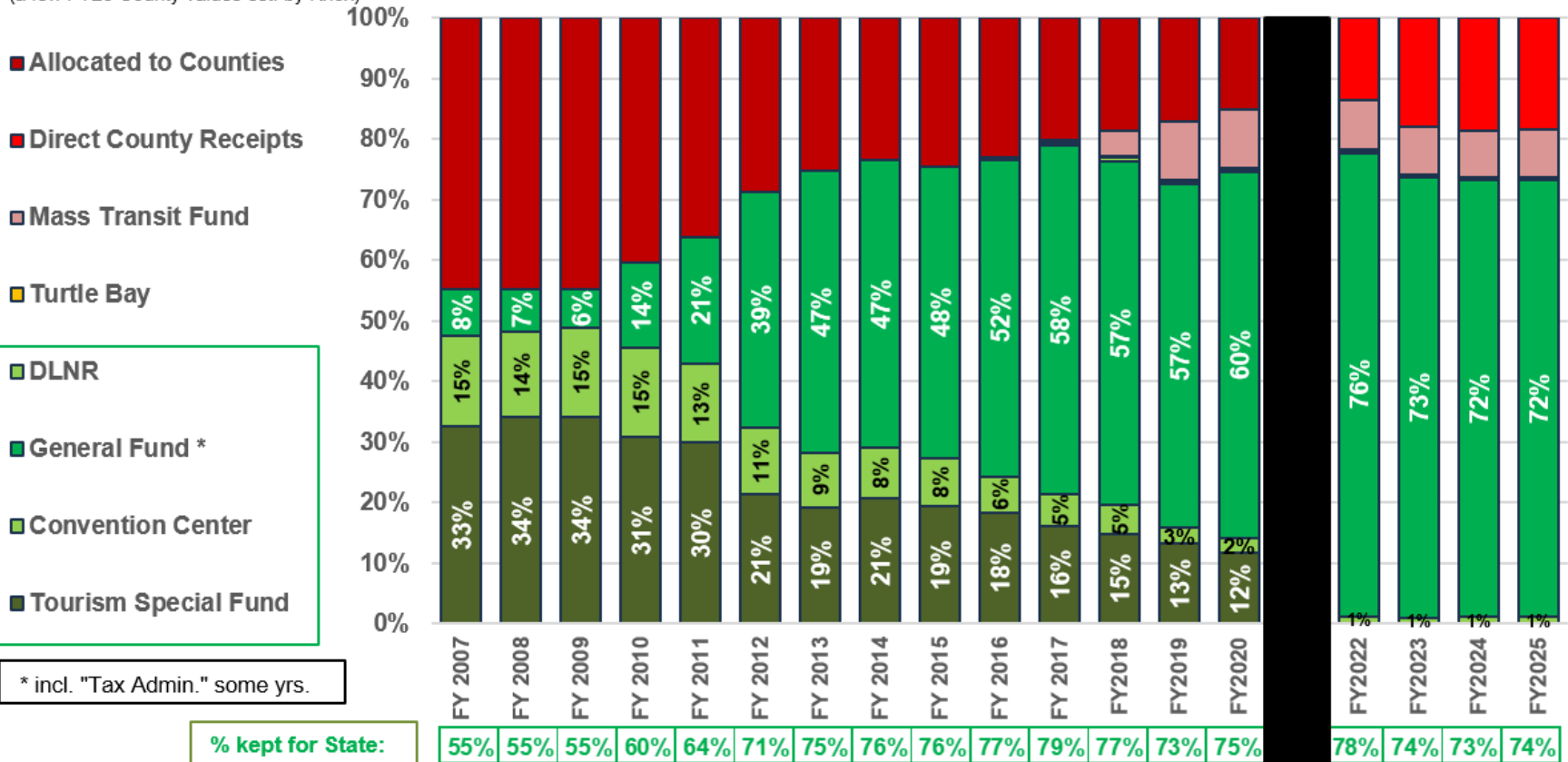
2. THE REST OF THE STORY: TAT COMPLEXITIES

- Shifting revenue splits: State vs. counties
- Visitors face other public taxes / fees
- Shifting revenue uses: Politics of **allocation** to marketing, other tourism uses, genl. economy

TAT Shift from County to State (and Particularly the General Fund)

Data compiled by Marketing Management, Inc. from Annual Comprehensive Financial Reports - State and Counties;
(a few FY25 County values est. by Knox)

Allocation of TAT Receipts, FY 2007-25



Possible Broad Allocation Categories

Tourism-Related	Non-Tourism
Marketing	Dedicated Sports Facilities
Management/Stewardship	General Fund
Infrastructure, Convention Ctr., etc.	Misc. Other

Alternative Philosophies	
USTA: Should maximize just these uses to create “virtuous circle” – revenue grows/improves the industry, which generates more revenue for further growth/improvement	JTB Consultants: “ <i>Socialized Model</i> ” would distribute benefits to civil society, local culture, and residents (combines frameworks of <i>tax justice</i> and <i>socialization of tourism</i>)

Hawai'i TAT/GET National Comparisons

		<u>Amount</u>	<u>Rank (of 100)</u>	<u>Notes</u>
Rate	"Total Charge" (State/Municipal Hotel Taxes + Sales Taxes)	18.71%	6th Highest	U.S. range is from 8% [+ \$4/night] (Billings) to 19.34% (both Austin and Ft. Worth)
Uses/ Allocation	"Total Tourism Support"	2.48%	3rd Lowest	Unwtd. Avg. for All 100: 41%
	-- <i>Tourism Marketing & Management</i>	0.00%	<i>Lowest</i> (8-way tie)	Unwtd. Avg. for All 100: 22%
	(Convt. Center Fund, Tsm Emergency Fund, Infrastructure, etc.)	2.48%	<i>27th lowest</i>	Unwtd. Avg. for All 100: 19%
	Total Non-Tourism Uses	97.52%	3rd Highest	Unwtd. Avg. for All 100: 59%
	-- <i>General Fund</i>	72.41%	<i>14th Highest</i>	Unwtd. Avg. for All 100: 43%
	-- <i>Dedicated Sports Stadium/Arena</i>	0.00%	<i>Lowest</i> (79-way tie)	Unwtd. Avg. for All 100: 3% (Only 10 cities higher than 10%)
	-- <i>Other*</i>	25.05%	<i>17th Highest</i>	Unwtd. Avg. for All 100: 13%

* For Honolulu, primarily (65%) for Rail / Mass Transit Fund ... variety of other funds and uses

Source: 2026 U.S. Travel Assn./Civitas Tax Study, Lodging Levies: Rates and Allocations

USTA Conclusions About Natl. Trends (vs. Us Guys)

National Findings (USTA/Civitas 2026)	True Here?
1. Total lodging charges are rising over time.	Yes
2. More revenue raised, <u>without raising rates guests can see</u> , by (a) taxing the tourism assessment itself (b) broadening definition of taxable rent. <i>"We expect this approach to spread."</i>	(a) No for TAT but Yes for GET (b) Yes
3. Roughly 10% of destinations now dedicate part of lodging revenue to affordable/workforce housing – new this year, unclear if start of a trend.	Not for TAT, but discussed for GET (TOD Council)
4. Growing %'s of revenues plowed back into Marketing and Management, " reversing years of drift toward the general fund. "	HELL, NO!

Other Complexities

- Broadening base of TAT applications (timeshares, STRs, resort fees)
- New or increased taxes heavily borne by visitors (e.g., surcharge taxes on rental cars, tour vehicles, car sharing)
- Mounting admission fees to publicly-owned attractions (hiking, botanical, etc.)

Conclusion: Part 2 Implications

- For “tourism competitiveness,” must consider designated uses, not just level of TAT rate.
- And that’s highly political!
- While TAT tweaks may have small actual tourism effects, possible *symbolic* effects of demonstrating support via recommendations like:
 - System for annual monitoring/publishing of total revenues (incl. fees and lesser taxes) from tourism
 - Recommended percentage ranges (floors/ceilings) for uses – a%-b% for marketing; c%-d% for management; e%-f% for tourism infrastructure; g%-h% for general society